

The Equity Share in New Issues and Aggregate Stock Returns

- Baker and Wurgler (2000): *“The share of equity issues in total new equity and debt issues is a strong predictor of U.S. stock market returns between 1928 and 1997. In particular, firms issue relatively more equity than debt just before periods of low market returns. The equity share in new issues has stable predictive power in both halves of the sample period and after controlling for other known predictors.”*^{[25](#)}

Aggregate Net Exchanges of Equity Funds/Mutual Fund Flows

- Ben-Rephael, Kandel, and Wohl (2011): *“We investigate a proxy for monthly shifts between bond funds and equity funds in the USA: aggregate net exchanges of equity funds. This measure (which is negatively related to changes in VIX) is positively contemporaneously correlated with aggregate stock market excess returns: One standard deviation of net exchanges is related to 1.95% of market excess return. These findings support the notion of “noise” in aggregate market prices induced by investor sentiment.”*^{[26](#)}

Are Discounts on Closed-End Funds a Sentiment Index?

- Chen, Kan, and Miller (1993): *“In sum, we reject as unfounded the central claim of Lee et al. that ‘The evidence suggests that discounts on closed-end funds are indeed a proxy for changes in individual investor sentiment and that same sentiment affects returns of smaller capitalization stocks and other stocks held and traded by individual investors.’”*^{[27](#)}

Yes, Discounts on Closed-End Funds Are a Sentiment Index

- Chopra, Lee, Shleifer, Thaler (1993): *“In summary, none of the stones Chen, Kan and Miller (CKM) throw seem to have hit. There is nothing embarrassing for Lee et al. in the fact that utility stocks rise when fund discounts narrow.”*^{[28](#)}